A: Look at the fund's **prospectus**, a document you can get by going to the fund company's site. You may also want to look up the fund's most recent **shareholder report**, which gives a breakdown of the **credit ratings** of the bonds that the fund recently held. These ratings are assigned by one of several rating agencies, like Standard & Poor's and Moody's. (Figure 5–2 explains the meaning of various ratings.)

Q: Within a given category of bond fund, how should I pick a particular fund?

A: Concentrate on one thing: fees. Studies have shown that bond fund managers have little effect on the performance of bond funds, so there's no point in researching managers and paying extra for someone who claims to be better than average.

Q: Are there bond index funds?

A: Yes, there are several dozen. The most common bond index is the **U.S. Aggregate Market Index,** which tracks the performance of all three types of bonds: short-, medium-, and long-term. I'll offer advice on finding a bond mutual fund a little later on in this chapter.

THE RIGHT MIX OF INVESTMENTS

As I've said, your first investing move should be to save three months' worth of expenses in a combination of a money market fund and a bank savings account. But what happens after that?